

Reconciliation would end pre-tax commuter benefits for biking indefinitely



BY: **PAVAN ACHARYA** | 07/03/2025 04:02 PM EDT

Tucked into the reconciliation bill, [H.R. 1](#), is a provision that would permanently erase pre-tax commuter benefits for employees who bike to work.

President Donald Trump's signature [2017 tax law](#) created a prohibition against claiming a commuter tax benefit for biking to work, but that suspension [was set to expire](#) by the end of 2025. The reconciliation package would erase the \$20 per month benefit altogether.

The reconciliation bill does not alter tax-free subsidies for employees who use vehicles or transit to commute.

Background: In 2008, Congress [enacted a law](#) that created a \$20 pre-tax benefit for those who bike to work. In 2017, that benefit was suspended, but that suspension was due to expire at the end of next year.

Former Rep. Earl Blumenauer (D-Ore.), an avid bicyclist, tried several times to revive it. He was successful in adding an \$81 per month subsidy for bicycles into a version of the [Inflation Reduction Act of 2022](#) — but it was stripped out in the version that eventually became law. Blumenauer tried to resurrect it via [new legislation](#) in 2023, his final term in Congress, but the bill died before seeing any action.

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